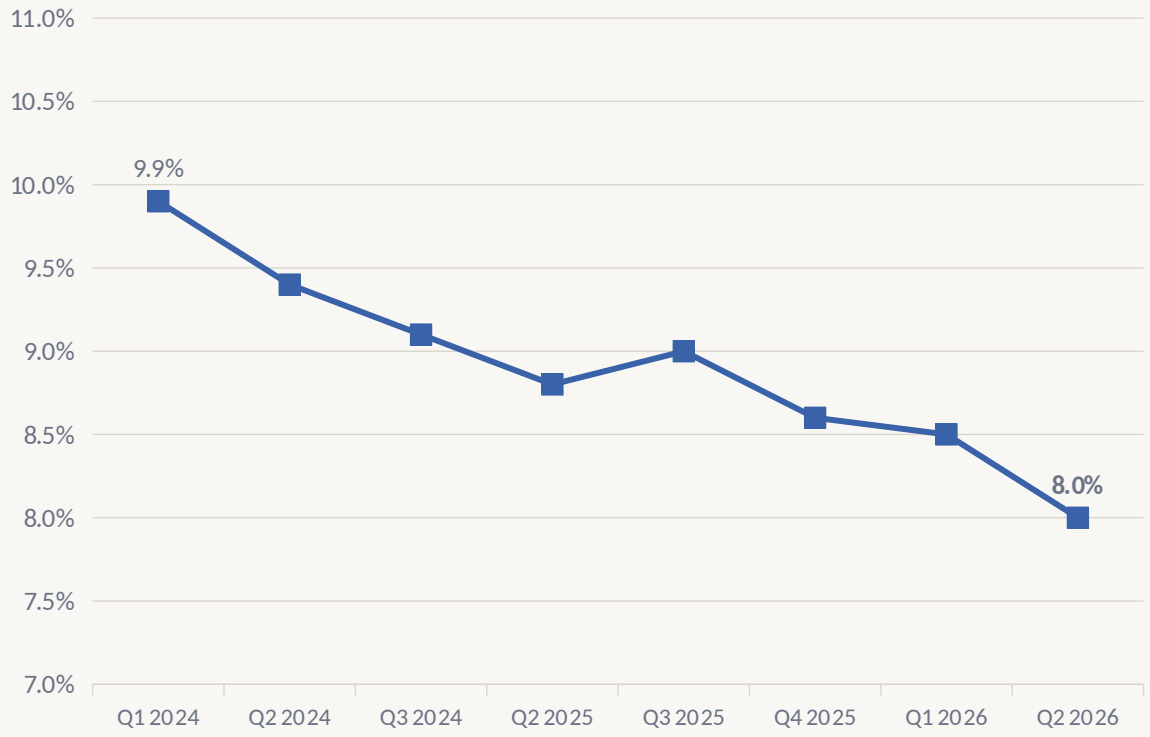
LONDON OFFICE MARKET · 10 OCT 2026

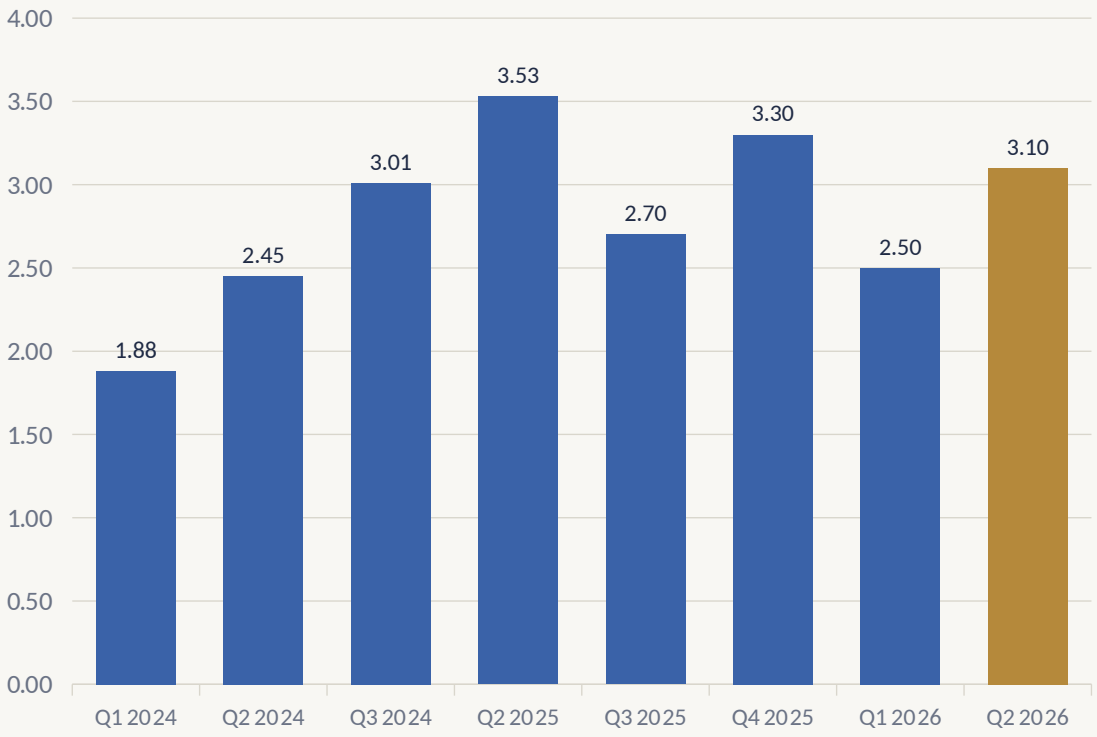
Weekly board brief: vacancy down, demand building, capital cautious

Vacancy fell to 8.0%, the lowest since Q1 2024

CENTRAL LONDON VACANCY RATE



TAKE-UP, M SQ FT · LONG-TERM AVERAGE 2.80



SO WHAT *Take-up of 3.10m sq ft is 11% above its long-term average while availability shrinks, so leasing risk falls for good buildings.*

Source [1]. Quarters with no figures in the library are not shown.

Active requirements jumped 2.20m sq ft to 14.30m sq ft

8.0%

VACANCY RATE · Q2 2026

−0.50pp vs Q1 2026 [1]

3.10m sq ft

TAKE-UP · Q2 2026

+0.60 vs Q1 2026 [1] +11% against the long-term average.

£2.00bn

INVESTMENT VOLUME · Q2 2026

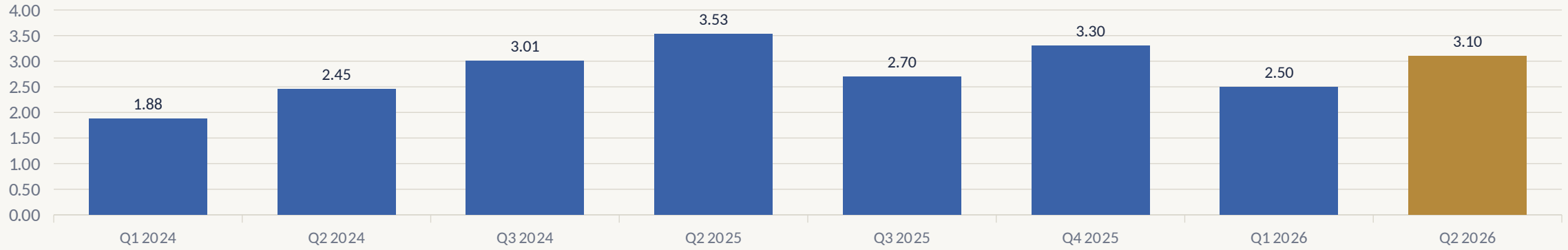
+0.10 vs Q1 2026 [1] -36% against the long-term average.

3.75%

BANK RATE · AS OF 2026-10-08

Bank of England Bank Rate [2].

TAKE-UP, M SQ FT

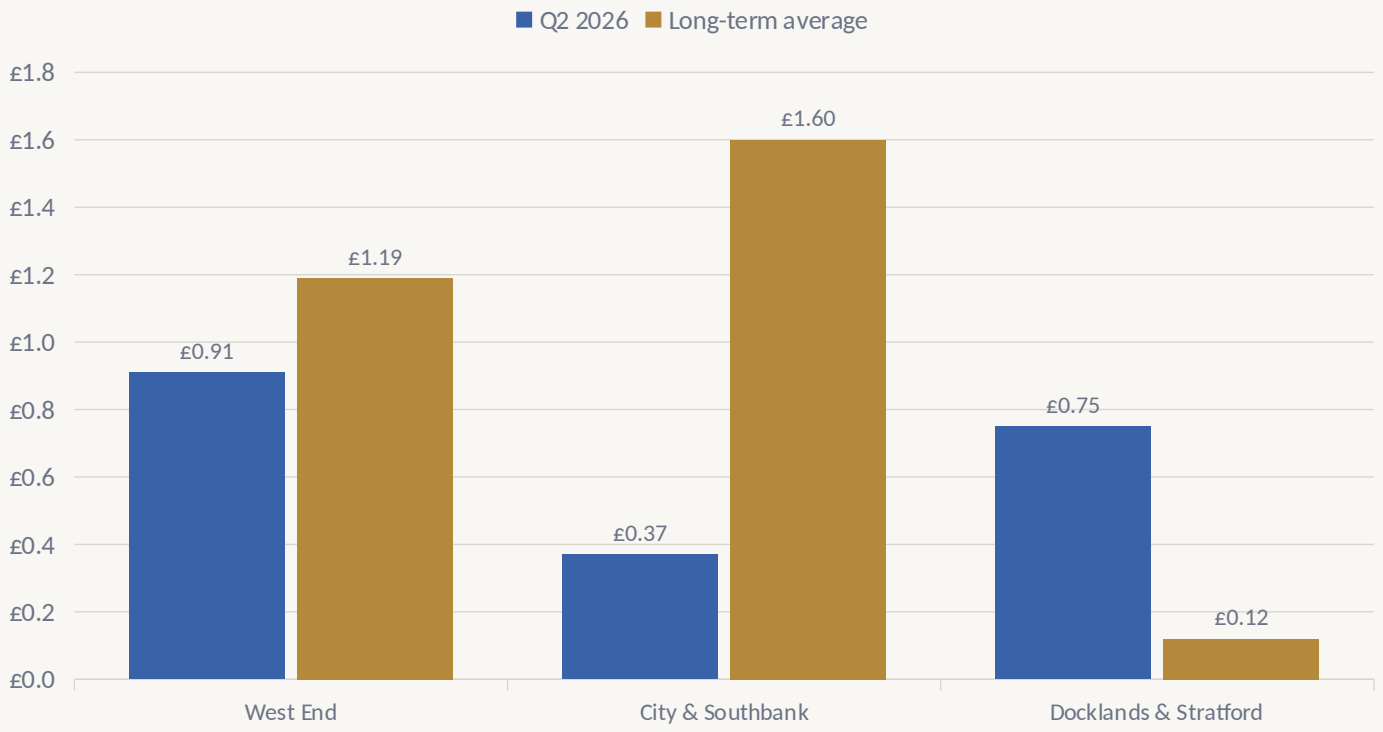


SO WHAT *Requirements rising alongside falling vacancy points to firmer rental tone ahead, especially in tight submarkets.*

Source [1].

Investment £2.00bn, 36% below the long-term average

INVESTMENT, £BN, Q2 2026 VS LONG-TERM AVERAGE



PRICING AND RATES

PRIME YIELD	LATEST	CHANGE
West End	3.8% [1]	±0.00pp vs Q1 2026
City & Southbank	5.2% [1]	±0.00pp vs Q1 2026
Docklands & Stratford	7.5% [1]	±0.00pp vs Q1 2026
Bank Rate	3.75% [2]	as of 2026-10-08

SO WHAT *City & Southbank is 77% below its long-term average: little fresh pricing evidence, so valuations rest on fewer comparables.*

London total £2.00bn [1]. Yields are the publisher's prime yields.

What the team is watching: deals, pre-lets and refurb finance

▲ POSITIVE

Barclays buys 1 Churchill Place, Canary Wharf, for £750m

Barclays has acquired its Canary Wharf headquarters at 1 Churchill Place for £750m, reflecting a 5.62% yield. The deal lifted Docklands & Stratford investment turnover to… [10]

Sets fresh pricing (yield) evidence for valuations and acquisitions.

▲ POSITIVE

J.P. Morgan Asset Management Agree to Major City Pre-Let - CBRE

J.P. Morgan Asset Management Agree to Major City Pre-Let CBRE [11]

Large lettings set rental evidence and show which occupiers are taking space.

▲ POSITIVE

Citi reopens Canary Wharf HQ after hefty $1.5bn refit - The Banker

Citi reopens Canary Wharf HQ after hefty $1.5bn refit The Banker [12]

Large lettings set rental evidence and show which occupiers are taking space.

▲ POSITIVE

Central London vacancy falls to 8.0% as active requirements reach 14.3m sq ft

London office vacancy fell to 8.0% in Q2 2026 while active requirements rose to 14.3m sq ft. Take-up rebounded to 3.1m sq ft after a subdued first quarter. Also reported by… [10]

Headline market data shifts the narrative for the quarter.

▲ POSITIVE

ING and DBS back £1.016bn City of London office refurbishment - East London Advertiser

ING and DBS back £1.016bn City of London office refurbishment East London Advertiser Also reported by FF News. [13]

New supply competes with existing buildings for the same tenants.

▲ POSITIVE

City office secures £47.2m refurbishment finance - PropertyWire

City office secures £47.2m refurbishment finance PropertyWire [14]

New supply competes with existing buildings for the same tenants.

Sources and footnotes

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[2] Bank of England Bank Rate - https://www.bankofengland.co.uk/boeapps/database/Bank-Rate.asp
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[11] CBRE (2026-09-24) - https://news.google.com/rss/articles/CBMimgFBVV95cUxOYTBBeWdSVXpaRmEwYjdQZTJRTDNuSkdxTXRvZlhaVy1aQTljU0lJdTRHV3Q1a0VNaVk1ODBiQ0M4VXVPMzRyUVc5blFRWFdmUlRwRWJNUmNCb3ZMekVmMGxTV2FGYkg2NzRzU1JaUm9vNmFkeFlEY3plUElvbWFMbld1S0FNV1A3NURiYlNSWmg3b25sV1gza0xB?oc=5
[12] The Banker (2026-09-22) - https://news.google.com/rss/articles/CBMiekFVX3lxTE9SQzVSOFJucnQzamgzMXRJSENoMUpwTUY0bFhQRmxDUm9PdGh3bmp6T3ZfX2pjekc1Y0p3ZnQxbWRsUHFfWFllQVg1a1lkYWpIdTlNR3dpM1ZuNHdNaFhpNVVFRWRzWDVDaE9lTUZfaGRTUHJCZWFwcENB?oc=5
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Figures restated from public research for this proof of concept (Knight Frank terms bar AI use of their data); verify against the original before external use.

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